

quoted as an annual spread—the per annum amount the buyer of protection pays the seller (in quarterly payments). (The CDS spread is the “carry” on the trade.) If a bond’s creditworthiness deteriorates (an event associated with the credit spread widening), the CDS spread will widen as well. A third way of placing a trade that will profit from widening credit spreads, and the one employed by O’Shea, is to buy a CDS on an index based on a basket of corporate bonds. Note that buying CDS protection has an option-like payoff: The maximum risk is limited (to the per annum spread paid, which is analogous to an option premium), while the gain can be much larger (up to a theoretical maximum of the amount protected).

Why did you consider buying CDS protection a better trade than buying equity puts?

Actually, they are very similar trades. If the equity market stayed strong, the loss in both positions would be limited—to the option premium for the puts and to the carry for the CDS position. If the equity markets fell, credit spreads would widen, and both long puts and long CDS protection positions would have large profits. The advantage of CDS was that it was a cheaper way of doing the trade. One problem with buying equity puts is that equity volatility tends to be very expensive. Who is the natural seller of equity puts? No one. Who is the natural buyer of equity puts? Everyone. The world is long equities, and people like owning insurance, so there is an excess of natural buyers for equity puts. That is why equity option prices are structurally expensive.

After you turned bearish in August 2007, did you maintain that view all the way through the collapse of markets in late 2008?

Maintaining the same long-term view doesn’t mean I kept the same positions. My typical time horizon for trades is one to three months. When prices change, the risk/reward on positions change.

I understand that your specific positions changed, but did you maintain an unwavering commitment to the bearish side, even during the significant rebound in the second quarter of 2008?

The reason the market bounced in the second quarter of 2008 was that people felt that the Bear Stearns bailout in March 2008 had solved the